

RESEARCH PACK

Luxembourg pensions

All three pillars, cross-border rules and product implications

PREPARED FOR Clerio

SCOPE Luxembourg, France and Germany

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AUDIENCE Product, engineering, compliance and domain experts

Product research only. Not legal, tax or actuarial advice.

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1. Executive conclusions

What Clerio can build now

Pillar	Can it be modelled?	Best v1 approach	Main blocker
1. Statutory	Largely deterministic when the full career and pension-start year are known	Rules engine plus imported CNAP career statement, with separate national and EU pro-rata calculations	Future salary, future law, complementary periods and foreign records
2. Occupational	Scheme-specific, not one national formula	Discovery and document-extraction workflow first, then calculators by scheme type	No single universal scheme design, incomplete central data, old employers and missing plan rules
3. Individual	Deterministic for an existing contract if balance, fees and benefit terms are known; otherwise scenario-based	Contract inventory plus contribution and investment scenarios	Product-specific fees, guarantees, fund performance, payout election and retirement-state tax

Five product-critical findings

- Pillar 1 is not simply salary multiplied by years.** The Luxembourg annual pension combines fixed increases based on insured years with proportional increases based on revalued lifetime contributory income. For EU careers, the institution may compare an independent national calculation with an EU theoretical and pro-rata calculation.
- Pillar 2 has a central supervisory record, but not a complete consumer pension dashboard.** The IGSS registers employer schemes and now makes some person-level information available through authenticated MyGuichet. The IGSS warns that the information is supplied by scheme managers and that it cannot guarantee its accuracy. There is no published, authorised third-party API.
- Pillar 2 discovery is Clerio's strongest Luxembourg opportunity.** The law requires a pension regulation at affiliation, annual information, and an exit statement within 30 days. In practice, former workers may not retain these documents or know the current manager. A guided recovery flow can add value before Clerio calculates anything.
- The 2026 reform makes static logic dangerous.** Since 1 January 2026, the global Pillar 1 contribution rate is 25.5%, split equally among employee, employer and State. Since 1 July 2026, the 480-month condition for the age-60 early pension is progressively extended, reaching eight extra months from 2030.
- The introduction-fee model needs formal perimeter advice.** Pure information, factual projections and a neutral directory are lower-risk. A personal recommendation to enter, switch or surrender a financial instrument or insurance product can be regulated advice or distribution. A paid lead can remain outside

insurance distribution only while Clerio merely supplies information and takes no further step to help conclude the contract. Product ranking, pre-filled applications, provider-specific calls to action, hand-holding and remuneration linked to completion increase the risk substantially.

2. Terminology and system map

Luxembourg legislation is authoritative in French. German and Luxembourgish labels below are practical product labels, not equally authoritative legal terms.

Pillar	French legal or official term	German product label	Luxembourgish product label	Mandatory?
1	régime général d'assurance pension; assurance pension légale; separate statutory special schemes for public servants	gesetzliche Rentenversicherung; allgemeines Rentensystem	gesetzlech Pensiousversécherung; allgemenge Pensioussystem	Yes for covered work
2	régime complémentaire de pension, or RCP; pension complémentaire	betriebliche Zusatzrente; Zusatzpensionssystem	betrieblech Zousazpensioun; zousätzleche Pensioussystem	Employer's decision to create a scheme is voluntary; affiliation is normally compulsory once the employee meets its rules
3	contrat individuel de prévoyance-vieillesse under article 111bis L.I.R.; Luxembourg PEPP sub-account under article 111ter	private Altersvorsorge	privat Altersvorsuerg	No

The official three-pillar description is confirmed by the Luxembourg tax administration for Pillar 3 and Guichet for Pillar 2. [ACD, 27 January 2026](#), [Guichet, 5 February 2024](#)

3. Pillar 1: statutory pension

A. Legal basis, institutions and coverage

The core private-sector and self-employed regime is Book III of the **Code de la sécurité sociale**, particularly articles 170 onward for insurance periods, articles 183 to 195 for benefits and articles 198 onward for calculation and survivor rules. The authoritative consolidated Code should be versioned in Clerio's rule repository. [Code de la sécurité sociale, consolidated 1 January 2026](#)

The **CNAP**, Caisse nationale d'assurance pension, administers pensions under the general scheme. The **CCSS**, Centre commun de la sécurité sociale, handles affiliation, contribution collection and career data. The **IGSS** exercises government oversight and produces actuarial and legislative analysis. Public servants may fall under statutory special or transitional schemes governed principally by the amended law of 3 August 1998 and the law of 25 March

2015. Clerio must ask for employment status and not assume that every Luxembourg worker is under CNAP.

Compulsory pension insurance broadly covers remunerated employees and self-employed workers carrying on covered activity in Luxembourg, plus legally assimilated periods. A non-resident worker paying Luxembourg contributions has the same pension rights as a resident worker. [CNAP compulsory insurance](#), [Guichet non-resident statement](#)

B. Contributions and accrual

From 1 January 2026:

- Total statutory pension rate: **25.5%** of contributory pay.
- Employee: **8.5%**.
- Employer: **8.5%**.
- State: **8.5%**, because the State bears one third of total contributions.
- The payroll table often displays 17% because it combines the employee and employer shares. [CCSS social parameters, 29 May 2026](#), [CSS article 238](#), [CSS article 239 and financing chapter](#)

At 1 January 2026, the monthly contribution floor for a full-time basis and the non-qualified social minimum wage was EUR 2,703.74 and the ceiling was five times that amount, EUR 13,518.68. These values are index-linked and changed with the June 2026 index tranche, so they must be stored as dated parameters, not constants. [CCSS social parameters](#)

Benefit formula

For a pension beginning in year y , define:

- R = 2,085: annual statutory reference amount at index 100 and base year 1984.
- n : credited insurance years for fixed increases, capped at 40. A started year can count for the fixed component under the statutory calculation rules.
- F_y : fixed-increase rate for the pension-start year. In 2026, $F_{2026} = 25.075\%$.
- S : total lifetime contributory income, with each year's income reduced to index 100 and base year 1984 under the statutory coefficients.
- P_y : base proportional-increase rate. In 2026, $P_{2026} = 1.763\%$.
- age : completed age when the pension starts.
- m : completed years of compulsory insurance relevant to the stepped proportional increase.
- T_y : threshold for $age + m$. In 2026, $T_{2026} = 95$.
- u_y : additional rate per whole unit above the threshold. In 2026, $u_{2026} = 0.016$ percentage point.
- $P*_y = \min(2.05\%, P_y + \max(0, age + m - T_y) \times u_y)$.
- I : current cost-of-living index divided by 100.

- **V**: applicable revaluation factor. At 1 January 2026, the published factor was 1.57.

Then the simplified annual gross pension is:

$$\text{Annual gross} = [R \times F_y \times \min(n, 40)/40 + S \times P^*_y] \times I \times V$$

The monthly gross amount is annual gross divided by 12. This expression is suitable as an engineering representation, but production code must reproduce the statutory month, rounding, income-reduction, EU coordination, minimum, maximum, anti-cumulation and end-of-year-allocation rules exactly. [CNAP calculation, updated 24 February 2026](#), [CSL 2026 technical guide](#)

At 1 June 2026, after indexation, the government published for new 2026 pensions a full-career fixed component of EUR 678.71 per month, minimum personal pension of EUR 2,436.04 and maximum personal pension of EUR 11,277.94. The apparent difference from January examples is a dated index effect. [Government social parameters, June 2026](#)

Minimum and maximum

- A 40-year qualifying career can receive a guaranteed minimum equal to 90% of the reference basis, if the calculated fixed and proportional components fall below it.
- Between 20 and 40 qualifying years, the minimum is reduced by one fortieth for each missing year.
- The personal pension is capped at five sixths of five times the statutory reference amount, after applicable updating. [CNAP calculation](#)

C. Retirement ages and qualifying periods

Route	Age	Qualification at 15 July 2026	Reduction for taking it at that age?
Normal old-age pension	65	At least 120 months of compulsory, continued, optional or retroactively purchased insurance. EU and treaty periods can establish the 10-year condition.	No actuarial early-retirement reduction
Early pension route A	57	480 months of compulsory insurance	No general actuarial haircut, but work-income anti-cumulation applies
Early pension route B	60	480 qualifying months, including complementary periods, of which at least 120 are compulsory, continued, optional or purchased, plus the new extension	No general actuarial haircut, but work-income anti-cumulation applies

The age-60 extension applies after the original 480-month point and is one month from 1 July 2026, two months in 2027, four in 2028, six in 2029 and eight from 2030. The age-57 route and the age-65 pension were not changed by this measure. [CNAP, 19 March 2026](#), [CNAP reform summary, 25 February 2026](#)

Luxembourg introduced a progressive pension in 2026 for qualifying salaried workers, subject to employer agreement and detailed conditions. This is a separate product state and

should not be represented as ordinary deferred retirement. [Guichet progressive-pension certificate, 2 March 2026](#)

D. EU and cross-border calculation

Regulations (EC) 883/2004 and 987/2009 coordinate, but do not harmonise, national schemes. Their key effects are:

1. Insurance periods in France, Germany and other covered states can be aggregated to meet a national qualifying condition under article 6 of Regulation 883/2004.
 2. Each country normally calculates and pays its own pension under its own law and pension age.
 3. Under article 52, the institution generally calculates:
 - an independent national benefit, where national periods alone create entitlement; and
 - a theoretical benefit as if all covered-country periods had been completed under that country's law, followed by the actual pro-rata amount: $\text{theoretical benefit} \times \text{domestic insurance duration} / \text{total coordinated insurance duration}$.
1. The institution pays the higher amount produced by the applicable comparison rules.

The Court of Justice explains the two-stage theoretical and pro-rata method in detail. [Regulation 883/2004, European Commission coordination FAQ, CJEU, C-866/19](#)

Product implication: Do not add three national projections together before each country has applied its own aggregation, qualifying-age and pro-rata rules. A person can start receiving different national components on different dates.

When leaving Luxembourg, valid statutory periods are preserved and the pension is exportable. If at age 65 the person does not meet the qualifying period, reimbursement of personally and employer-funded contributions may be requested under Luxembourg rules, excluding the public-authority share. In coordinated EU cases, aggregation usually prevents using this as a casual cash-out option. [CNAP reimbursement](#)

E. Tax at payout and residence abroad

For a Luxembourg resident, statutory pensions are taxable pension income, with social deductions and withholding reflected on the annual **Certificat de pension ou de rente, de retenue d'impôts et de crédits d'impôts bonifiés**. The exact net amount depends on tax class, household income, deductions, pension credits and dependency/health coverage. Clerio must calculate household tax after combining all income, not apply a fixed pension-tax percentage. [CNAP tax certificate](#)

For a resident of France, article 17(2) of the current treaty gives Luxembourg exclusive taxing rights over sums paid under Luxembourg social-security legislation. Other employment pensions normally fall under residence-state taxation, subject to the public-service article. France's elimination rules still require correct declaration and treaty treatment. [Luxembourg-France treaty, article 17](#)

For a resident of Germany, article 17(2) similarly gives the source state exclusive taxing rights over statutory social-security benefits. Ordinary pensions and annuities are normally taxable only in the residence state, subject to special rules for tax-favoured contributions, Luxembourg Pillar 2 amounts already taxed at contribution and public-service pensions.

[Coordinated Luxembourg-Germany treaty, article 17](#)

Required v1 rule: classify every payment as statutory, occupational, individual, public-service or other before selecting the treaty article. Source country alone is not enough.

F. Data, records and access

Record	Holder	Contents	Access	Machine-readable third-party route
Relevé or extrait de carrière d'assurance	CNAP/CCSS	Luxembourg insurance months and contributory income by year; later-life estimate in some cases	Sent annually to recently insured people; estimation request can be made online or by post	No published consumer-consent API found
CNAP pension estimate	CNAP	Reconstructed career, earliest pension date, up to two estimate dates	Authenticated MyGuichet procedure or postal form; response by post	No published API found
CCSS affiliation and income certificates	CCSS	Registered occupations and/or income	Immediate PDF in authenticated MyGuichet; eDelivery available	No published personal third-party API found
PENEST/DEMPEN	CCSS employer channel	Structured career and estimate response used by employers	SECUline employer process	Not a consumer or fintech open API; Clerio must not treat it as authorised access

From age 56, and with at least 120 months, the annual career extract may include an indicative estimate based only on recorded Luxembourg periods, excluding foreign and complementary periods. The CNAP's fuller estimation can reconstruct foreign and other periods, but remains indicative. [Guichet estimate, 15 June 2026](#), [CCSS certificates](#), [CCSS PENEST format](#)

G. Errors, gaps and death

CNAP explicitly advises people to check the annual career statement. Likely error classes are missing employers, incorrect employment dates, missing contributory income, unrecognised baby years, studies, purchased periods, military or assimilated periods, and foreign periods not yet reconstructed. No authoritative public source found gives an error-frequency rate. Clerio must not invent one.

Survivor and orphan pensions are separate statutory claims. They are not safely assumed to be paid automatically. A formal application is required, usually through the institution in the country of residence or the last competent institution. Coordinated institutions contact the other covered countries. [Guichet orphan-pension procedure](#), [CNAP survivor calculation](#)

H. Clerio build plan for Pillar 1

Minimum estimated-input set

- Date of birth and intended pension dates.
- Sex only where a foreign or legacy rule legally requires it, not as a generic assumption.
- Country and scheme for every work period.
- Luxembourg employment status: private employee, self-employed, civil servant, public employee or special regime.
- Start/end month and gross contributory income by year, or a defensible salary-history approximation.
- Complementary periods: studies, childcare, unemployment, sickness, military and purchased/voluntary insurance.
- Current salary, expected growth and future work-country plan.
- Retirement residence, marital status and expected household retirement income for net-tax modelling.

Confidence framework, proposed product inference

Evidence level	Suggested Pillar 1 uncertainty band	Reason
Only current salary, age and broad career countries	$\pm 20\%$ to $\pm 35\%$	Lifetime earnings and missing periods dominate
User-entered employers, months and salary bands	$\pm 12\%$ to $\pm 20\%$	Career shape known but records unverified
Recent CNAP career statement imported	$\pm 5\%$ to $\pm 10\%$ for accrued Luxembourg right	Recorded domestic history known; future career and law remain uncertain
Fresh CNAP estimate after reconstructed foreign career	$\pm 2\%$ to $\pm 5\%$ near retirement	Official input and calculation, but still indicative and tax/residence may change

These bands are Clerio design proposals, not official accuracy statistics. Validate them with an actuary through back-testing against real anonymised awards.

Build order

1. Dated parameter service and legal-version registry.
2. Luxembourg general-scheme accrual calculator.
3. Career-statement parser with year/month/income reconciliation.
4. Eligibility engine for 65, 57, 60 and progressive pension.
5. EU aggregation and article 52 calculation orchestration.
6. Household net-tax engine by retirement residence.
7. Special public-service schemes.

Defer from v1: invalidity estimates, survivor amount optimisation, every public-sector transitional case, anti-cumulation with accident pensions, and definitive tax advice.

4. Pillar 2: occupational pensions

A. What it is

The principal law is the **amended law of 8 June 1999 on supplementary pension schemes**, especially:

- Articles 1 to 5: scope, definitions, scheme and pension-regulation requirements.
- Article 8: affiliation.
- Article 9: vesting.
- Articles 10 to 13: acquired rights, preservation, transfers and buy-out.
- Article 17: information rights.
- Articles 18 to 20: financing and dependency contribution.
- Articles 21 to 24: insolvency insurance for internal schemes.
- Articles 29 to 31: IGSS authority, registration and tax deductibility.

[Law of 8 June 1999, original official text](#), [IGSS coordinated text](#)

The employer is not generally obliged to establish a Pillar 2 scheme. Once it establishes one, employees meeting the pension regulation's objective eligibility conditions are normally affiliated, and the employer must finance the promised benefit from the affiliation date. Cross-border and non-resident employees working under the covered Luxembourg relationship are not excluded merely because of residence.

B. Scheme landscape

Two independent axes must be stored in Clerio:

Promise type

Type	Legal concept	Accrued-value logic
Defined benefit, DB	régime à prestations définies	Scheme promises a benefit formula, often linked to service and pay. On exit, statutory acquired benefit is generally the full-career benefit projected under the regulation, multiplied by actual service divided by possible service to scheme retirement age.
Defined contribution, DC	régime à contributions définies	Employer and/or employee contributes a defined amount. Acquired rights are the deferred benefit arising from contributions paid and capitalised to exit; future value then follows guarantee or investment return.

Financing vehicle

Vehicle	Where assets or obligation sit	Main supervisor
Internal book-reserve scheme, régime interne	Employer balance-sheet provision	IGSS for social/labour and actuarial compliance; mandatory PSVaG insolvency protection
Group insurance / supplementary pension insurance contract	Insurer's technical provisions	CAA prudentially supervises insurer; IGSS registers and supervises scheme-law compliance
Occupational pension institution	Pension fund assets	CSSF for SEPCAV/ASSEP; CAA for its supervised pension-fund forms; IGSS for Luxembourg social/labour scheme rules
Approved receiving scheme	Approved vehicle for self-employed contributions or former-employee acquired rights that cannot remain or move to a new employer	IGSS approval, plus vehicle regulator

The statutory definitions include SEPCAV and ASSEP institutions under the law of 13 July 2005. [CSSF pension-fund framework](#), [CSSF authorisation requirements](#)

C. Employee rights and employer duties

- A pension regulation must define eligible categories, benefits, contributions, vesting, acquired-right calculation, information, payment, preservation, transfer, buy-out, death and amendment rules.
- For entrants after 20 May 2018, combined waiting and vesting periods may not exceed three years.
- Acquired rights must be preserved in full after exit, even after dismissal for gross misconduct.
- Changes cannot retrospectively reduce acquired reserves or acquired benefits for elapsed periods.
- A copy of the pension regulation must be given on affiliation.
- Written information must be supplied at least annually.
- On request, the worker must receive the effect of a possible employment termination.
- On actual exit, the statement and options must be supplied within 30 days.
- Scheme information must be clear and based on data no older than 12 months.

[IGSS information note 2023/03](#)

The annual statement should show acquired reserves or reserves still vesting and their vesting date, acquired benefit and due date for most schemes, projected reserve at retirement with assumptions and a non-guarantee warning for unguaranteed DC, and employee contributions.

D. Leaving employment

After vesting, the available routes depend on law and the pension regulation:

1. **Preserve** the right in the former employer's scheme.
2. **Transfer** to a new employer's scheme, if the parties agree and the receiving scheme can recognise equivalent rights.
3. **Transfer** to an IGSS-approved receiving arrangement. An old employer can use this route where the right cannot go to the new employer. Special protection applies to DB rights.
4. **Buy out** or redeem the acquired reserve only if the regulation permits and the statutory conditions are met. The normal cases are reserve not exceeding three times the monthly non-qualified minimum wage, or a new activity that removes the worker from Luxembourg health insurance. The affiliate alone initiates the buy-out.

Preserved rights remain payable across EU borders, net of applicable tax and transaction costs. [Guichet leaving-employment guide](#)

E. Tax

Luxembourg uses front-loaded taxation for a qualifying employer Pillar 2 arrangement:

- Employer contributions, allocations, insurance premiums or internal provisions are generally subjected to a **20% flat withholding tax at contribution/funding**, borne through the employer mechanism under article 142 L.I.R.
- Qualifying Pillar 2 benefits and buy-outs are generally exempt from Luxembourg income tax at payout, subject to exceptions for untaxed internal funding and legacy facts.
- Employee personal contributions are deductible as special expenses up to EUR 1,200 per year under article 110 L.I.R.
- If the beneficiary is covered by Luxembourg dependency insurance, a 1.4% dependency contribution can apply to the benefit.

[ACD/IGSS coordinated tax extracts, articles 110, 115 and 142](#), [Guichet Pillar 2 tax treatment](#)

For a France resident, an ordinary private occupational pension will generally fall under treaty article 17(1), residence-state taxation, unless another provision applies. For a Germany resident, article 17(4) specifically prevents Germany from taxing Luxembourg-source occupational amounts arising from contributions, allocations, premiums or internal provisions that were taxed in Luxembourg. This is a major classification trap and requires contract-level evidence. Public-service pensions follow separate rules.

F. Pillar 2 discovery and valuation flow for Clerio

This is the proposed UI flow.

Step	User question / UI action	Evidence and logic	Wall	Workaround / next action
1	“Did employer X offer a supplementary pension?”	Ask about contract wording, payslips, benefit portal, annual statements and exit pack	User does not know	Add every Luxembourg employer and mark “unknown Pillar 2” rather than “none”
2	Check MyGuichet “Mes droits à une pension complémentaire”	Authenticated private MyGuichet access using LuxTrust or an electronic identity card; IGSS shows available manager-reported data	No delegated Clerio access; records may be incomplete	Guided screen-share style instructions, user downloads or transcribes; never collect login credentials
3	Identify scheme and current manager	Capture employer, scheme/plan ID, manager, insurer/fund, activation/closure dates	Employer renamed, merged or dissolved	Search employment records and commercial register, contact successor, then IGSS PenCom
4	Request mandatory documents	Pension regulation, amendments, latest annual statement and 30-day exit statement	Old employee never received or lost them	Template request to former employer/HR and scheme manager citing article 17
5	Confirm vested status	Entry date, affiliation date, waiting/vesting period, exit date; post-20 May 2018 combined maximum three years	Service dates or legacy rules unclear	Extract from contract/payroll; flag legal review for pre-2019 or legacy clauses
6	Classify promise	DB, DC guaranteed, or DC unguaranteed	Statement uses provider language	Parser maps formula and vehicle separately; human review if confidence low
7	Establish current value	DC: acquired reserve, units, guarantee and fees. DB: acquired annual/monthly benefit and due age	Statement gives reserve but no retirement income, or benefit but no present value	Keep original unit, do not force a false conversion; show capital and income scenario separately
8	Confirm preservation/transfer /buy-out election	Read exit choice and current status	User ignored form or cannot remember	Ask manager for status confirmation and current statement
9	Project to scheme retirement date	Apply guarantee or scenario returns for DC; scheme indexation/revaluation for DB	Fees, guarantee and indexation missing	Use a wide range and label assumption; do not use generic market return as “expected right”
10	Convert to monthly retirement income	Use actual annuity factor or user-selected drawdown scenario; retain capital view	Scheme pays only capital or conversion terms are unknown	Display both “pot” and “illustrative monthly equivalent”, clearly distinct
11	Apply residence-state tax treaty	Classify source, funding tax and public/private employment	Tax treatment depends on historic funding and residence	Require evidence and tax review for Germany article 17(4), public service and mixed legacy funding
12	Verification state	Mark source and date: user estimate, employer statement, manager confirmation, MyGuichet, award	Conflicting values	Show discrepancy, do not silently choose one; manager is correction contact

What MyGuichet currently adds: Residents and non-residents who worked in Luxembourg and are affiliated with an employer or approved scheme can consult certain Pillar 2 information. Access is authenticated. The public service states that only data relating to financial years 2022 and later is made available. The IGSS says its display is based on data submitted by managers and cannot guarantee accuracy. [Guichet citizen service](#)

Does a central register exist? Yes, the IGSS has a register of schemes and receives manager reporting. No evidence was found of a complete public “lost pension” register or a third-party discovery API that lets Clerio query all entitlements with consent. The consumer MyGuichet view is the closest current central access point, but it is neither a completeness guarantee nor a published fintech interface.

If the employer no longer exists:

- For an external insurance contract or pension fund, identify and contact the current insurer, fund or successor manager.
- For business transfers, article 14 protects transfer of accrued and accruing rights in relevant cases.
- Internal schemes must be insured against employer insolvency. Luxembourg uses the German **Pensions-Sicherungs-Verein VVaG, PSVaG**, with IGSS PenCom acting as liaison. Acquired rights and survivors can have a claim against the insolvency insurer. [IGSS insolvency note 2023/05](#)
- Dissolution without a clearly identified insolvency event, unregistered legacy promises and pre-2000 exits require human legal investigation.

G. Death, errors and unclaimed rights

The pension regulation controls retirement, death, invalidity and survivor benefits and may define beneficiary rules that differ from ordinary succession. A former employee preserving rights after a post-2019 departure must be offered a reserve-refund option on death before retirement, subject to possible recalculation. After death, family members may need to contact the employer, manager, insurer, fund or PSVaG. A generic “estate inherits the pot” rule would be wrong.

Likely failures include missing annual statements, wrong salary or service, an exit incorrectly treated as unvested, employee contributions omitted, stale beneficiary details, lost contact after moving abroad, a transfer never completed, or an old employer holding the only usable record. The IGSS public service explicitly directs users to the identified manager to correct inconsistencies. No official unclaimed-asset total or record-error frequency was found.

H. Clerio build plan for Pillar 2

Minimum inputs for an unverified estimate

- Employer, exact legal entity where possible, country and employment dates.
- Whether a plan existed and affiliation date.
- Scheme type, contribution percentage or benefit formula.
- Salary basis and pensionable salary definition.
- Vesting, retirement age, exit election and current balance/benefit if known.
- Guarantee, fees, fund allocation and payout form.

- Death/survivor option and beneficiary.

Confidence framework, proposed product inference

Evidence	Suggested band
Employer and service only, plan existence suspected	Do not show a central estimate; show “potential entitlement, value unknown”
Contribution rate and salary history, no statement	±25% to ±40%
Recent DC statement with current reserve, fees and allocation	±10% to ±25% depending on horizon, as investment range
DB statement with acquired benefit and scheme revaluation rule	±5% to ±10%
Manager-confirmed amount close to payment	±2% to ±5%, excluding tax and election changes

Build sequence

1. Employer timeline and “unknown plan” detection.
2. MyGuichet guide and secure document intake.
3. Pension-regulation, annual-statement and exit-statement parsers.
4. Rights registry that preserves original units: capital, annual pension, units and insured death benefit.
5. DC projection engine with fee, guarantee and scenario inputs.
6. DB formula templates plus human review.
7. Transfer, preservation and beneficiary workflow.
8. Provider/manager directory and correction-letter generator.

Hardest part: extracting a legally faithful, versioned benefit formula from heterogeneous plan rules, particularly DB, legacy arrangements and old exits.

Defer from v1: automatic transfer execution, surrender or buy-out recommendations, automated beneficiary claims, definitive German treaty classification, and valuation of undocumented DB promises.

5. Pillar 3: individual retirement provision

A. Legal definition and providers

The tax-recognised national product is an individual old-age provision contract under **article 111bis of the amended Income Tax Law, L.I.R.** A Luxembourg sub-account of the Pan-European Personal Pension Product, PEPP, is addressed by **article 111ter** and Regulation (EU) 2019/1238. Providers can include authorised insurers and other legally eligible

providers. Prudential and distribution supervision depends on provider and product, principally the CAA for insurance and the CSSF for relevant financial-sector entities. [2026 consolidated L.I.R., ACD Pillar 3 guide](#)

It is voluntary and individual. Residents and non-residents electing resident-equivalent taxation under article 157ter may claim the tax treatment when conditions are met.

B. Mechanics

From tax year 2026, the annual deductible contribution limit is **EUR 4,500 per taxpayer**, across article 111bis and 111ter arrangements. It is individual for each spouse with an individual contract. There is no employer or State matching contribution in the statutory Pillar 3 design. The actual tax saving is the deduction multiplied by the taxpayer's marginal tax effect, not EUR 4,500. [ACD, 27 January 2026](#)

Core qualifying conditions include:

- Minimum contract duration of 10 years.
- Subscription before the 65th birthday.
- Payment no earlier than age 60 and no later than age 75.
- Payout as lifetime annuity, lump sum, annual withdrawals, or a combination.
- No early repayment except serious illness or disability under the qualifying exception.

The accumulated value is product-specific:

Future value = contributions and investment returns or credited interest - product, insurance and fund charges

There is no national benefit formula or State-guaranteed conversion rate. Clerio must model the actual contract, not “the Luxembourg Pillar 3 return.”

At normal maturity:

- A lifetime annuity is 50% exempt and 50% taxed at the normal rate as pension/annuity income.
- Lump-sum and annual withdrawals are extraordinary miscellaneous income taxed under the half-global-rate method.
- Benefits are subject to dependency-insurance treatment under the published rules.
- Non-qualifying early repayment is fully taxed at the normal rate, except the qualifying serious-illness or disability cases receive normal-maturity treatment.

[ACD payout taxation](#)

Several contracts may exist, but the total annual deduction cap is shared. Accumulated savings in one national article 111bis contract cannot simply be transferred into another contract, and each contract separately must satisfy the duration rules.

C. Cross-border treatment

EU social-security aggregation under Regulations 883/2004 and 987/2009 does **not** aggregate personal Pillar 3 savings. Portability is contractual and, for PEPP, follows the PEPP framework. A move abroad does not erase ownership, but can affect contribution deductibility, product servicing, payout and tax.

Treaty classification depends on the payment's legal nature. An employment pension article should not automatically be applied to a personal investment product. For France and Germany, Clerio needs a tax-law opinion covering article 111bis annuities, lump sums and PEPP payments by residence state. Until then, v1 should show **gross retirement proceeds** and a “tax classification requires confirmation” state for foreign residence rather than a falsely precise net figure.

D. Data and verification

There is no known Luxembourg central Pillar 3 entitlement register. Data sits with each provider. Documents typically include the proposal, contract/policy schedule, general and special conditions, annual value statement, fund/units statement, contribution certificate and maturity illustration. Access is through the provider's portal, customer service or intermediary.

No general open-banking-style pension API or authorised third-party access route was found. Clerio should use user-uploaded PDFs and screenshots, structured manual entry and, later, bilateral provider integrations.

Minimum inputs

- Provider, product, article 111bis or PEPP classification.
- Start and contractual maturity dates.
- Current surrender/account value, contributions and contribution frequency.
- Guaranteed rate/value, if any.
- Fund units and allocation, product/fund/insurance fees.
- Planned future contribution and payout election.
- Beneficiary and death value.
- Tax residence at contribution and retirement.

Suggested confidence

Evidence	Suggested band
Contribution only, product unknown	±30% to ±50% over a long horizon
Balance plus broad allocation, fees unknown	±20% to ±35%
Current statement, exact fees and holdings	Scenario range based on asset-class assumptions, not one confidence percentage

Evidence	Suggested band
Guaranteed maturity benefit	Guarantee shown separately with high confidence; non-guaranteed upside remains a scenario

Build sequence: inventory, statement parser, cash-flow engine, fee engine, stochastic or scenario projection, payout options, then residence-specific tax. Defer product recommendations, transfers, contract conclusion and provider ranking until regulatory perimeter is settled.

6. Cross-cutting regulatory perimeter

A. Planning information versus regulated advice

The central principle is activity, not disclaimer. Calling Clerio “not advice” does not determine the legal outcome.

Lower-risk product behaviour

- Reproduce statutory rules and source them.
- Calculate a user's expected entitlement from objective inputs.
- Show neutral scenarios selected by the user.
- Compare retirement ages, contribution levels or residence states without recommending a specific financial instrument.
- Provide a directory of regulated professionals.
- Pass contact details only after specific consent, without helping conclude a product.

Higher-risk or likely regulated behaviour

- A personal recommendation to buy, sell, switch, surrender or hold a specific financial instrument can be investment advice under MiFID/Luxembourg financial-sector law.
- Presenting or proposing an insurance product, advising on it, preparing for its conclusion or assisting conclusion can be insurance distribution.
- Receiving and transmitting an order, pre-filling an application, negotiating terms or tracking a customer to completion can amount to intermediation or distribution.
- Claiming independence while receiving provider remuneration creates additional conduct and disclosure risk.

Luxembourg investment advice is an investment service under article 24-5 of the financial-sector framework. [CSSF investment-firm activities, Law of 5 April 1993 on the financial sector](#)

The Insurance Distribution Directive excludes the mere provision of lead data to a distributor, or mere product/provider information to a potential customer, only where the provider takes **no additional steps** to assist conclusion. Luxembourg's national implementation and CAA practice must be confirmed in writing for Clerio's exact journey.

Directive (EU) 2016/97, article 2(2), Luxembourg insurance-sector law, consolidated 3 April 2026

B. Introduction-fee traffic-light design

Design	Indicative risk	Why
User asks for a list of licensed advisers; all are shown neutrally; Clerio charges subscription only	Lower	Information and directory function
User consents to send name/contact to a chosen firm; Clerio receives a fixed disclosed lead fee; no product data, recommendation or follow-up	Medium	Potentially within the pure-introduction exclusion, but facts and national implementation must be validated
Clerio selects “best partner” from personal pension data or ranks by expected suitability	High	Looks like personal recommendation and creates remuneration conflict
Clerio recommends a named Pillar 3 insurance/fund, pre-fills form or is paid on sale/completion	Very high	Likely distribution/intermediation or investment advice

Before launch, obtain:

1. A written regulatory-perimeter memorandum from a Luxembourg financial-services lawyer.
2. A pre-launch discussion or no-action-style clarification request with both CSSF and CAA, because Pillar 3 can be insurance-based or investment-based.
3. Contract wording that prevents partners from turning Clerio into an unregistered distributor by delegation.
4. A product governance rule prohibiting provider-specific recommendations unless and until Clerio or a partner operates under the required licence.

Questions to counsel and regulators

- Does a fixed fee for a consented contact lead remain outside distribution if Clerio displays a personalised pension gap but does not use that gap to choose the provider?
- Does sending pension-gap or asset data, rather than contact data alone, count as an additional step toward conclusion?
- Can Clerio rank regulated advisers by non-product facts such as language and country expertise?
- Which call-to-action and follow-up wording crosses into assisting conclusion?
- Are any Clerio projections a personal recommendation when they include “what to do next”?

7. GDPR and security

Pension and financial records are personal data, but financial, marital, survivor and beneficiary data are not automatically article 9 special-category data. Pension files may nevertheless contain or reveal health, disability, invalidity or trade-union data, which can fall within article 9. Clerio must identify and apply an article 9 condition to any processing of those special-category fields or documents, in addition to an article 6 basis. [EDPB SME guide](#), [EDPB Guidelines 1/2024](#)

Required design controls

- Define Clerio as controller for its planning service and document each processor/subprocessor.
- Select an article 6 basis per purpose. Contract necessity may cover core modelling; optional family sharing, marketing, partner introductions and secondary analytics need separate analysis.
- For health/disability data, identify an article 9 condition. Explicit consent is the most plausible consumer-product basis, but it must be specific, informed, withdrawable and not bundled unnecessarily.
- Perform and document the article 35 DPIA threshold assessment before production. A DPIA is legally required where the planned processing is likely to result in high risk. Given Clerio's intended profiling, sensitive-document handling, AI extraction and family access, completing a DPIA before launch is prudent even if the initial scale is limited.
- Minimise extraction. Store the original and verified fields separately; do not retain irrelevant medical detail.
- Encrypt in transit and at rest, use tenant isolation, fine-grained roles, strong authentication, immutable access logs, secure deletion and EU/EEA transfer controls.
- Family and adviser access must be explicit, granular, revocable and logged. Death does not automatically give a person access to another user's account.
- AI extraction needs confidence per field, provenance to page/box, human correction and no silent overwrite.
- Article 22 is unlikely to apply to a planning projection alone if it has no legal or similarly significant automatic effect. It may become relevant if automated scoring determines access, pricing or product recommendations.
- Establish retention periods by state: prospect, active subscriber, expired account, document-deletion request and deceased user.

The GDPR text and Luxembourg's CNPD framework remain the governing baseline. [GDPR](#), [Luxembourg data-protection framework](#)

8. Existing Luxembourg tools and Clerio's gap

Tool	Shows	Does not reliably show
Annual CNAP career extract	Luxembourg career and, at later age, a limited Luxembourg estimate	Full cross-border and complementary career in the automatic annual estimate; Pillars 2 and 3; household net income
CNAP formal estimate	Reconstructed career, earliest date and up to two pension estimates	Pillars 2/3, continuous multi-country tax scenarios, product action workflow
MyGuichet CCSS data	Affiliations and downloadable certificates	A consolidated retirement forecast
MyGuichet Pillar 2 rights	Certain IGSS/manager-reported occupational data	Accuracy guarantee, complete lost-pot search, all Pillar 3 products, open third-party API
CSL pension simulator	Fast Luxembourg statutory estimate	Official award, document verification, cross-pillar portfolio and tax-residence consolidation
Early-pension eligibility simulator	Indicative eligibility based on months entered	Pension amount
Private insurer simulators	Often their own products and sometimes a scanned-CNAP estimate	Neutral market-wide, all-country, all-pillar consolidated picture

[CSL estimator](#), [Guichet CNAP estimate](#), [MyGuichet Pillar 2](#)

Clerio's defensible gap is not “Luxembourg has no pension tools.” It is: no identified official tool consolidates multiple countries and all three pillars into a versioned, document-verified, household net-income projection with confidence and beneficiary workflow.

9. Legislative Radar

The large 2025 debate produced enacted changes effective in 2026:

- Contribution rate from 24% to 25.5% for the 2026-2032 coverage period.
- Progressive extension of the age-60 early-pension qualifying period from July 2026.
- More flexible treatment of study periods.
- Progressive pension.
- A tax allowance for people who could take early pension but continue working.
- The age-65 statutory age and age-57 route were retained.

[CNAP reform summary](#), [Parliament project 8634](#)

The policy stream remains real because long-term sustainability was not permanently solved. IGSS pre-reform modelling showed the pure pay-as-you-go rate exceeding the old 24% benchmark in 2026 and the baseline reserve being exhausted around 2045. The enacted package was presented as stabilising finances to 2042 and preserving reserves toward 2050, not as removing long-term review. [IGSS modelling, March 2025](#), [CNAP reform statement](#)

Radar sources to monitor: Legilux consolidated Code and tax law, Chamber dossier pages, CNAP news and parameters, CCSS social parameters, IGSS reports and PenCom notes, ACD

circulars and treaties, CSSF/CAA circulars, CJEU/EUR-Lex coordination cases, and France/Germany treaty updates.

Every rule object should include `jurisdiction`, `pillar`, `legal_source`, `article`, `effective_from`, `effective_to`, `published_at`, `status` and `last_verified_at`. Pending bills must never overwrite enacted production rules.

10. Recommended 12-week validation and build plan

Weeks	Workstream	Deliverable
1-2	Domain validation	Pension lawyer, actuary and cross-border tax adviser review this pack; resolve open questions
2-4	Data model	Versioned career, scheme, entitlement, evidence, assumption and tax-residence schemas
3-6	Pillar 1 engine	2026 general-scheme calculator, eligibility and statement parser with unit tests
4-7	Pillar 2 discovery	Employer inventory, MyGuichet guide, document requests, plan/statement extraction
6-9	Pillar 3 engine	Contract inventory, fee-aware projections and gross payout scenarios
7-10	Cross-border	EU aggregation orchestration and separate pension-start dates, starting LU/FR/DE
8-11	Net tax	Treaty classification matrix and household tax prototype, lawyer-reviewed
10-12	Controls	Confidence validation, discrepancy UI, audit trail, DPIA and regulatory-perimeter sign-off

Minimum expert interviews

1. **CNAP International / estimation team:** ask for exact article 52 Luxembourg implementation, rounding, under-one-year handling, foreign-period inputs, estimate document fields and whether any consented data-access pilot exists.
2. **IGSS PenCom, pencom@igss.etat.lu:** ask which person-level fields MyGuichet exposes, historic coverage/completeness, correction flow, scheme/successor discovery, dissolved employers and API/authorised-representative possibilities.
3. **CCSS:** ask whether a person can export structured affiliation/income history and whether eIDAS or representation supports a third party.
4. **CAA and CSSF:** present Clerio's exact screens, fee triggers and data handoff. Ask for perimeter classification, not a general opinion.
5. **Luxembourg pension actuary:** validate formula, minimum/maximum, EU pro-rata, confidence calibration and DB extraction templates.

6. **Luxembourg-France and Luxembourg-Germany tax specialist:** create a payment-type-by-residence matrix for statutory, private occupational, public-service, article 111bis, PEPP, annuity, lump sum and survivor payments.

11. Open issues that must remain explicit in the product

- No authoritative frequency data was found for career-record errors, unclaimed rights or missing occupational statements.
- No published third-party API was found for personal CNAP, CCSS, IGSS Pillar 2 or private Pillar 3 records.
- The IGSS consumer view's precise field coverage and historical completeness require direct confirmation.
- Pillar 2 tax depends on funding history, scheme type, residence and treaty. German article 17(4) is especially fact-sensitive.
- Pillar 3 foreign-resident tax cannot safely be inferred from the product's Luxembourg tax label alone.
- Confidence ranges proposed here are product hypotheses and require actuarial back-testing.
- “Net monthly income” is a household tax outcome. It cannot be made reliable from pension gross amounts alone.
- The regulatory status of paid introductions depends on the full journey, remuneration and actual conduct, not disclosure alone.

12. Primary source index

- [Code de la sécurité sociale, consolidated 1 January 2026](#)
- [CNAP pension calculation, updated 24 February 2026](#)
- [CNAP early-pension rules, updated 19 March 2026](#)
- [CCSS social parameters, updated 29 May 2026](#)
- [Law of 8 June 1999 on supplementary pensions](#)
- [IGSS coordinated Pillar 2 law and tax extracts](#)
- [IGSS Pillar 2 information rights note](#)
- [IGSS Pillar 2 statistics](#)
- [2026 consolidated Income Tax Law](#)
- [ACD Pillar 3 guide, updated 27 January 2026](#)
- [Regulation \(EC\) 883/2004](#)
- [Luxembourg-France tax treaty](#)
- [Coordinated Luxembourg-Germany tax treaty](#)
- [GDPR](#)